permanent allocation to fixed income, which is made possible due to absolute momentum.

8. Non-U.S. investors have generally had a more universal approach toward investing.

9. See Dimson et al (2014).

10. Currencies reflect relative exchange rate differences more than a buy-and-hold premium.

11. See Zaremba (2013).

12. See Inker (2010).

13. See also Li, Zhang, and Du (2011).

14. One might still consider exposure to certain commodity risk factors if one has a way to identify, isolate, and utilize them. See Blitz and De Groot (2014).

15. I use DJ-UBSCI instead of GSCI because DJ-UBSCI constrains each commodity sector to no more than one-third of the index, whereas the energy sector allocation in GSCI can be as high as 60–70%.

16. Nominal annual returns were 4.84% with a standard deviation of 10.2 and a Sharpe ratio of 0.16.

17. They developed a method to determine the false discovery rate used to adjust for data-snooping bias.

18. See Dimson et al. (2014).

19. See https://personal.vanguard.com/us/insights/investingtruths/investing-truth-about-cost.

20. See 1996 Annual Report, Chairman's Letter, Berkshire Hathaway, Inc.

21. See "A Conversation with Benjamin Graham" at http://www.bylo.org/bgraham76.html.

22. Skewness relates to the symmetrical characteristics of the return distribution. Positive skewness of returns implies greater variance of